

Decision-making guide

Innovation Microsimulation

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1. Simulation platform introduction

1.1 Game Arena

The gaming arena interface comprises various decision tabs that includes the Market section, Product, Resources, Marketing, Collaboration and Reports. Some sections must be completed first as they have an impact on other areas.

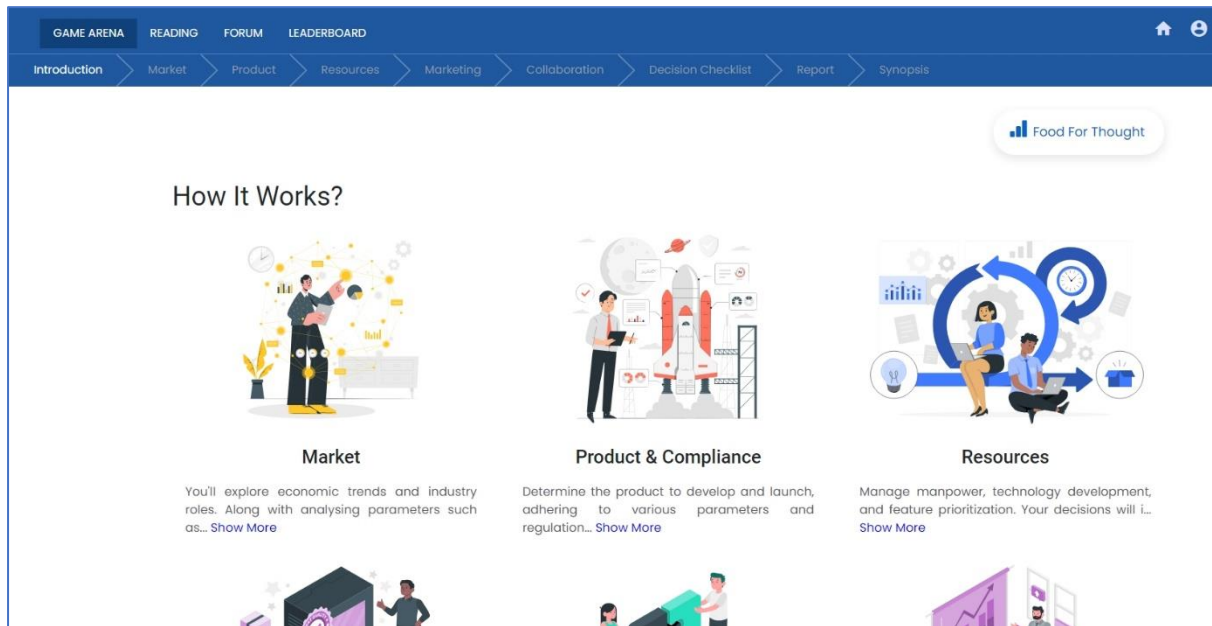


Figure 1 The Game Arena

1.2 Readings

This section provides essential materials necessary for participants to actively engage in the game. The main reading material consists of a guide for decision-making, supplemented by optional additional resources chosen by instructors. Moreover, a walkthrough video is accessible, offering in-depth information about the scenario featured in the simulation. This video presents insights into the industry, ongoing trends, obstacles, and the diverse array of decisions required.

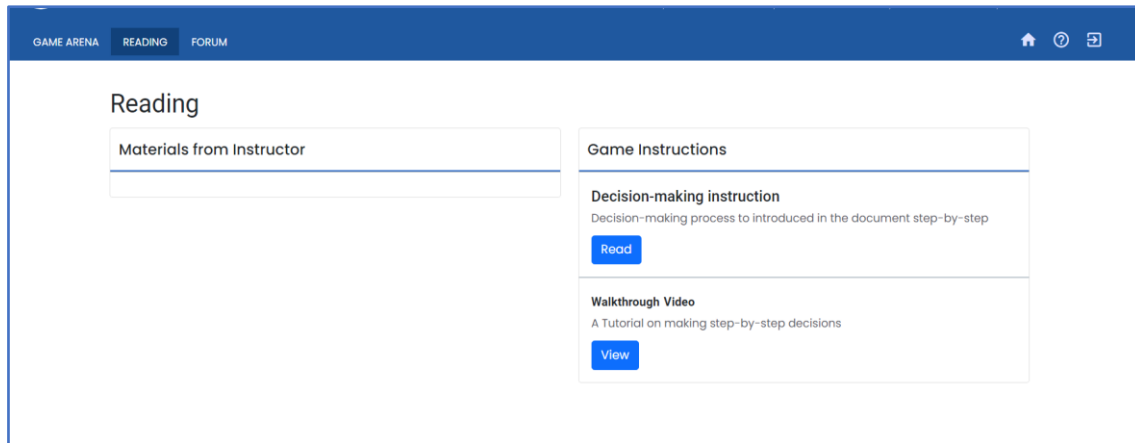


Figure 2 The Readings Section

1.3 Forum

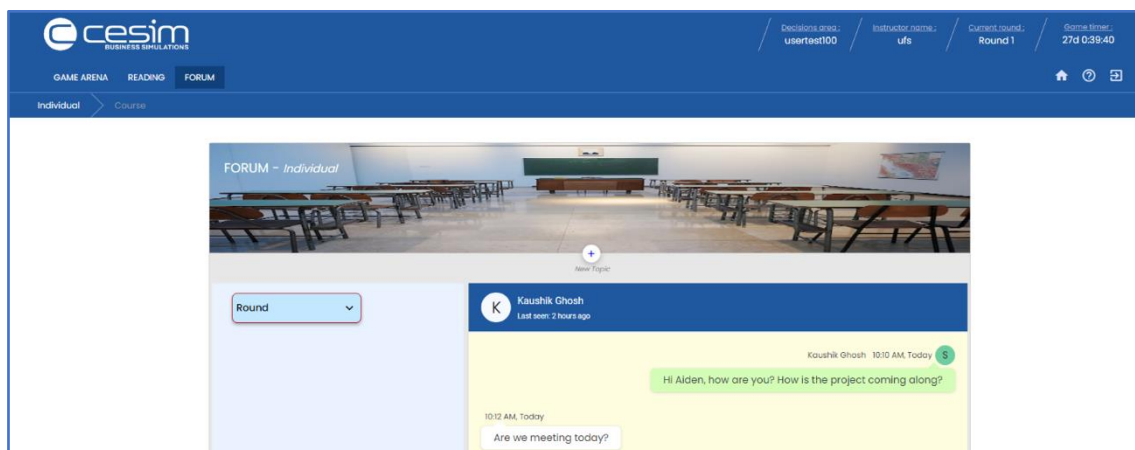


Figure 3 The Forum Section

- The forums provide an excellent platform for participants to engage with their instructors or peers.
- There are two separate forums: the Individual Forum and the Course Forum. The Individual Forum allows participants to communicate directly with the instructor, while the Course Forum is accessible to all enrolled players.
- Instructors can view and respond to posts in both sections. Consequently, the Course Forum is an appropriate space for asking questions that can benefit the entire course, while the Individual Forum is the preferred channel for the individual to have a direct discussion with the professor.
- Participants will receive notifications for messages.

1.4 Main Objective & Winning Criteria

Participants in this game simulation will take on the role of strategic advisors for an AR/VR startup, guiding it through economic trends, industry dynamics, and product-market fit challenges. Success hinges on achieving several key objectives. First, participants must focus on delivering a high-quality product that meets market demands and enhances customer satisfaction. Alongside this, managing expenses efficiently is crucial, requiring prudent financial planning and resource allocation to optimize monthly costs.

The winning criteria for the simulation will be based on two factors: projected profit/loss over a three-year period and the remaining runway. Participants must demonstrate their ability to forecast and achieve sustainable profitability while effectively managing finances to extend the startup's operational runway. By excelling in these areas, participants can position the startup for long-term success in the competitive AR/VR industry.

1.5 Successful decision-making flow

The sequence of decision-making unfolds as follows:



Figure 4 The Sequence of Decision-Making Process

2. Game Arena

2.1 Introduction

This page encompasses information detailing the functioning of the simulation and provides insights into each tab's decision-making.

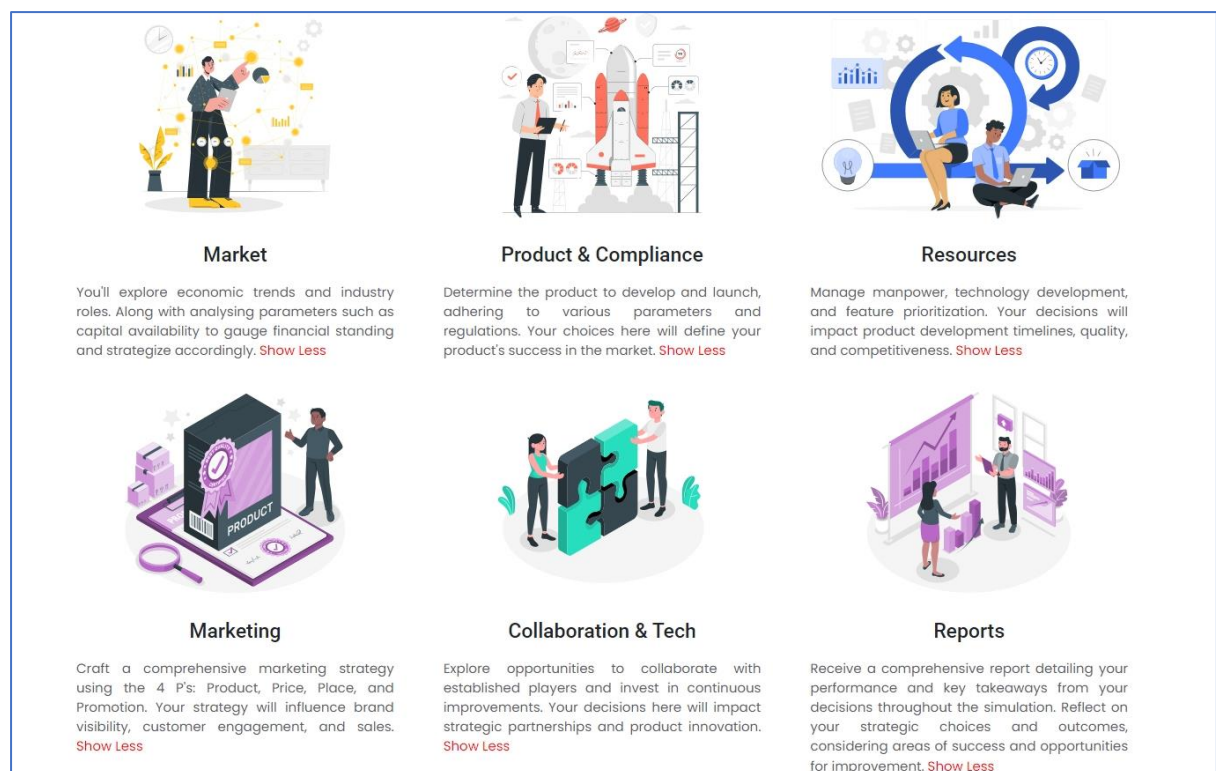


Figure 5 The Introduction Tab

2.2 Food for Thought

The "Food for Thought" section contains questions related to key decision areas, providing valuable insights to guide decision-making. Participants are encouraged to review it before addressing the decision areas, as it offers essential clarity on the decision-making process. Completion of this section is mandatory for Round one.

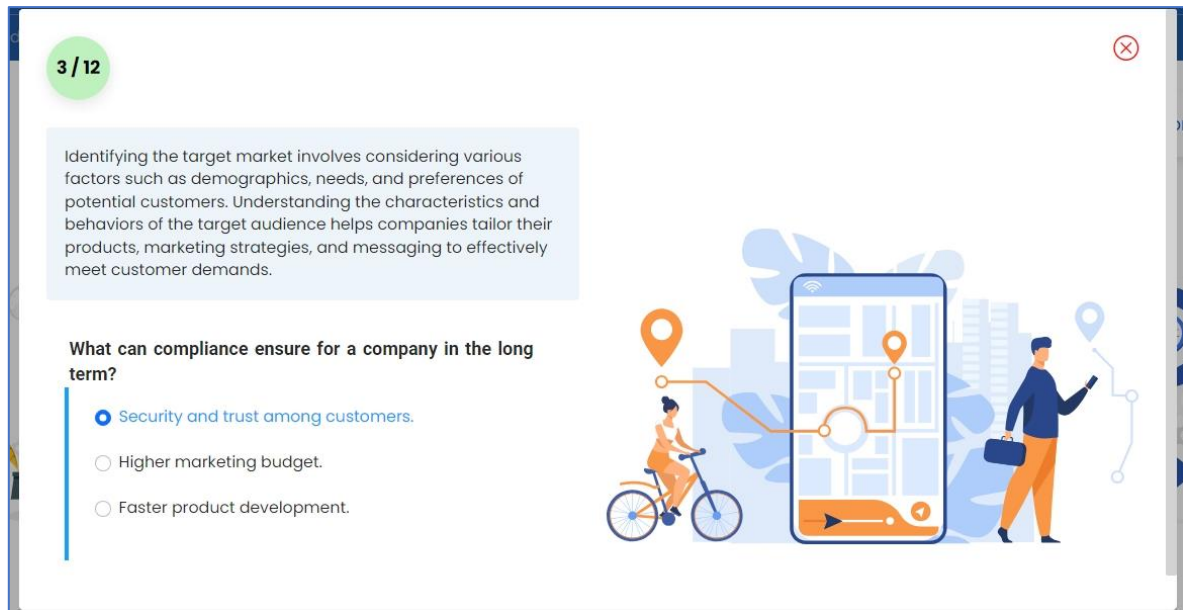


Figure 6 The Food for Thought Section in the Simulation

2.3 Market

Prior to commencing the decision-making process, it is essential to carefully examine the "Market" section. This section offers vital information on case scenario, industry overview and the key parameters to consider when making decisions in each tab.

In the bustling startup scene of New Delhi, a team of passionate innovators embarked on a journey to redefine reality with their ground-breaking AR/VR technology. Their vision captured the imagination of venture capitalists, securing pre-seed funding and propelling them into the spotlight of the tech world. With the resources at their disposal, the team faced a critical juncture: finding their product-market fit in an industry brimming with potential yet fraught with uncertainty. As the newly appointed strategic advisor, you brought your expertise to the table, guiding the startup through the maze of economic trends and industry dynamics. The AR/VR landscape, while ripe with opportunities, also posed challenges, with economic uncertainties casting a shadow over the future. The key lay in identifying not just the technological prowess of their product, but its resonance within the ever-shifting market landscape. Together, you and the start-up's leadership team embarked on a journey of discovery, leveraging market insights and customer feedback to chart a course forward. Balancing innovation with market demands, you navigated through the complexities of product development and market strategy, seeking to carve out a niche amidst the uncertainty. With each strategic decision, the startup moved closer to finding its place in the AR/VR ecosystem, poised to make a lasting impact on the future of digital experiences.	
Parameters	
	This Period
Company	
Pre-seed funding, k INR	10,000
Founders Capital, k INR	20,000
Base technology development cost, k INR	800
Total capital with company, k INR	22,000
Minimum cash at year end, k INR	2,000
1 Period	1 Year

Figure 7 The Market Tab in the Game Arena

2.4 Product

On the product page, participants are required to determine which product to develop and launch while adhering to specific parameters and regulations. Their choices will directly influence their success in the market. Participants should carefully consider the value proposition and how it aligns with the needs of the target audience. From the available options, they can select the best product to launch, taking into account key factors including the target market, market size, estimated sales, competition, and potential challenges.

Product ?			
	 Product 1	 Product 2	 Product 3
Product Name	Artisan Studio	VR Fitness Adventure	ARcane Adventures
Target Market	B2B	B2C	B2B2C
Market Size Global, mn USD	5000	2500	3000
Market Size India, mn USD	250	100	150
Estimated Sales in First Year, mn INR	10	5	8
Estimated Sales in Three Years, mn INR	50	30	40
B2C/B2B Market	B2B	B2C	B2C
Target Audience	Architects, Interior Designers, Real Estate Developers	Fitness Enthusiasts, Gamers	Students, Educational Institutions, Gamers
Competition	Moderate	Moderate to High	Moderate
Uncertainty	Moderate	Moderate to High	Moderate
Challenges	Resistance to adopting new technologies and longer sales cycles due to complex decision-making processes in B2B sectors.	Overcoming barriers to entry such as the need for expensive VR equipment and competition from traditional fitness methods.	Challenges may include market saturation, content quality, and technological barriers for widespread adoption in educational settings.

Figure 8 The Product choice decision area in the Platform

In the compliance section, participants can select the areas they wish to comply with. Adhering to compliance requirements is crucial for avoiding legal risks, protecting intellectual property, and building trust with customers and partners. It ensures the product meets legal, regulatory, and industry standards, safeguarding the business from penalties and enhancing its competitive position.

The legal compliance decisions in the simulation cover areas such as legal compliance, regulatory compliance, trademarks and copyrights, technology patents, open-source compliance, and industry standard compliance. Detailed descriptions for each are provided in the decision areas. These choices are vital for ensuring the product adheres to relevant legal and industry standards.

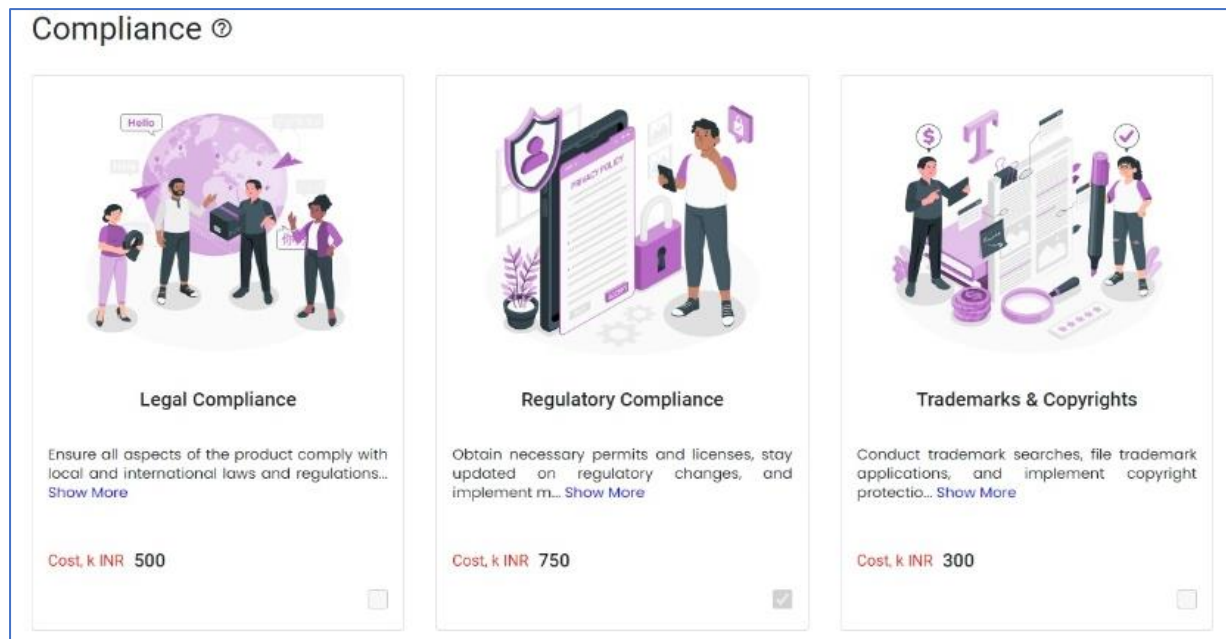


Figure 9 The Compliance Decision area in the Platform

2.5 Resources

Under the Resources tab, participants are responsible for allocating human resources to develop the desired product. This involves deciding on the number of new recruits required for product development. Based on these decisions, the wages for the recruited personnel will be reflected in the nearby graph, along with the total quality index. The number of recruits directly impacts the quality index percentage, as higher resource allocation generally leads to improved product quality, while insufficient staffing may compromise the final quality. Thus, participants must balance recruitment to optimize both costs and the quality outcome.

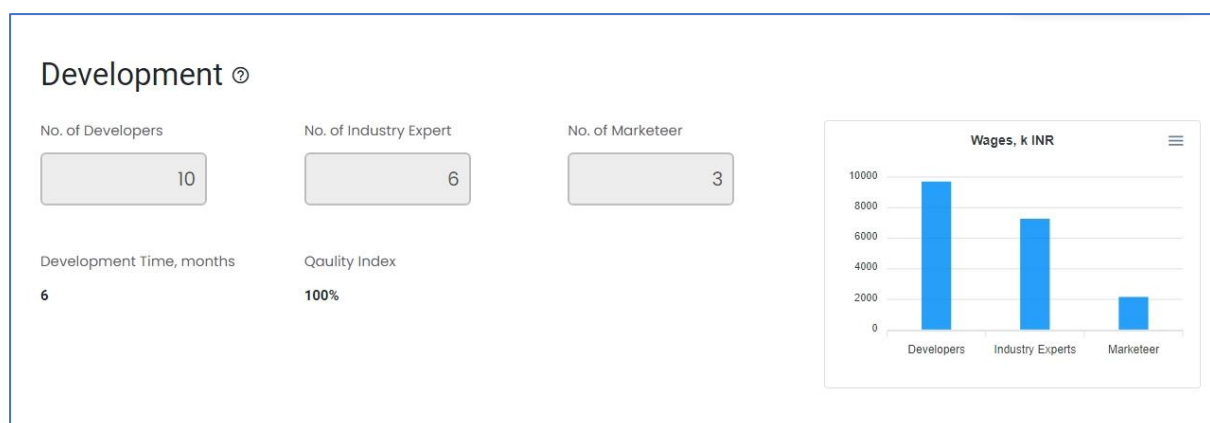


Figure 10 The Development Decision area in the Platform

In this section of the Resources tab, participants are tasked with selecting features to add to the product. While enhanced features can significantly increase the product's value, they also extend the development timeline and incur additional costs. Participants must carefully balance feature selection with time and budget constraints to create a competitive product.

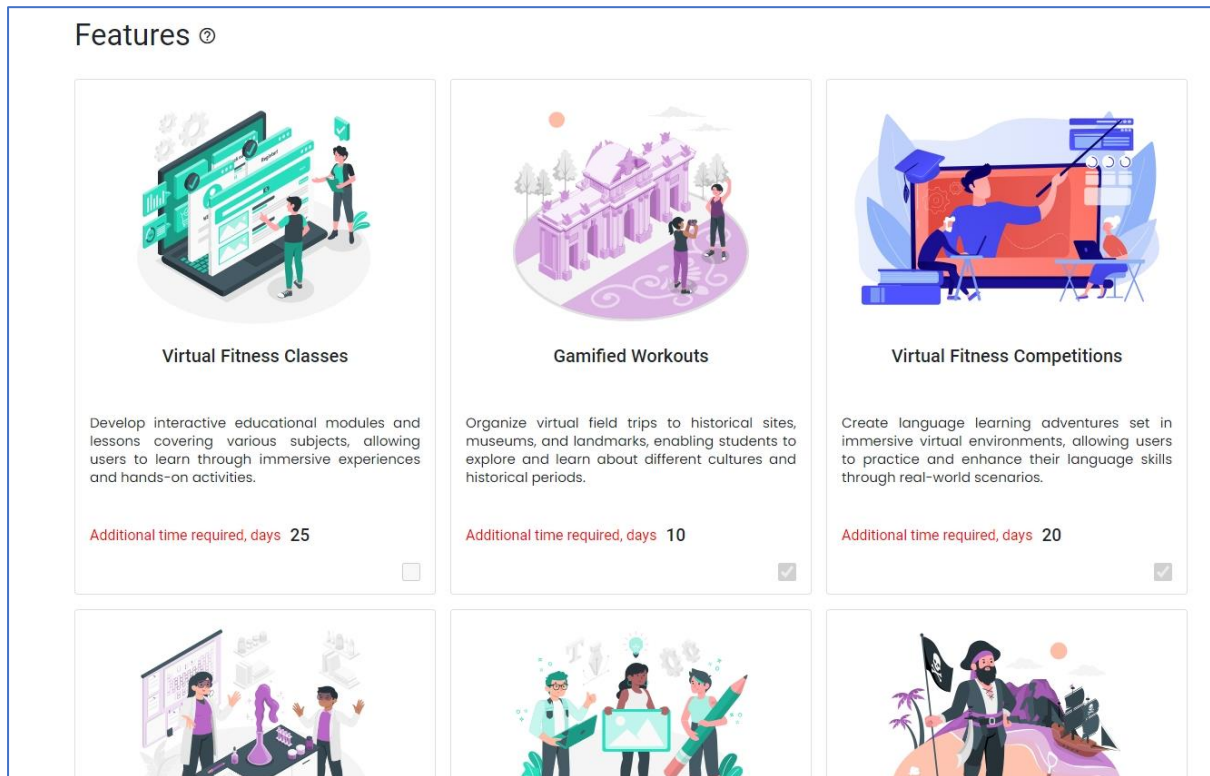


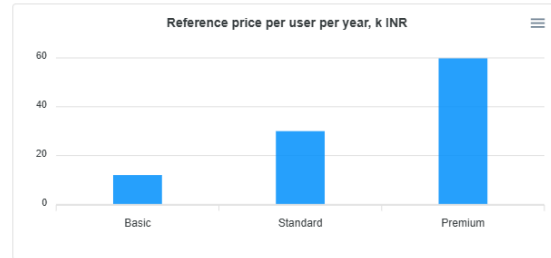
Figure 11 The Features Selection section in the Resources tab

2.6 Marketing

Under the Marketing tab, the participants are tasked with deciding the Price, Promotion and Distribution.

When setting prices, participants must consider the pricing strategy for the three product plans: Basic, Standard, and Premium. They should evaluate how each pricing structure impacts the perceived value of the product. A well-defined strategy can enhance customer perception, justify price differences, and cater to varying consumer needs. Understanding these dynamics will enable participants to optimize pricing to attract a broader audience while maximizing profitability.

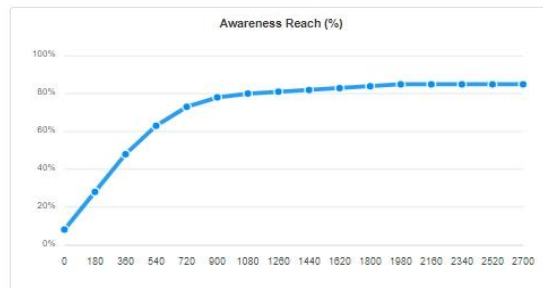
Pricing



	Plan		
In-App Guidance	Basic ☐	Standard ☐	Premium ☐
User Onboarding	Basic ☐	Standard ☐	Premium ☐
Interactive Help Centre	Basic ☐	Standard ☐	Premium ☐
Customizable User Profiles	Basic ☐	Standard ☐	Premium ☐
Community Forums	Basic ☐	Standard ☐	Premium ☐
Multi-Platform Compatibility	Basic ☐	Standard ☐	Premium ☐
Analytics and Reporting	Basic ☐	Standard ☐	Premium ☐
Customization Options	Basic ☐	Standard ☐	Premium ☐
Offline Access	Basic ☐	Standard ☐	Premium ☐

Figure 12 The Pricing decision area in the Marketing Tab

Promotions



Distribution

Fitness Centers and Gyms Partnership

Partner with fitness centers and gyms to offer VR fitness experiences as part of their membership packages, providing access to a captive audience of health-conscious individuals.

Online Subscription Platforms

Collaborate with online subscription platforms focusing on fitness and wellness content, such as Cult.fit or Fitr, to promote and distribute the product to their existing subscriber base.

VR Arcades and Gaming Cafes

Establish partnerships with VR arcades and gaming cafes to feature the product as part of their entertainment offerings, attracting gamers and fitness enthusiasts looking for immersive experiences.

Figure 13 The Promotion & Distribution decision area in the Platform

In the Promotions section, participants are responsible for allocating the promotional budget to achieve maximum reach and appeal to their target segment. In the Distribution section, they must determine how to effectively reach their audience by selecting appropriate channels for product distribution. When deciding on distribution channels, participants should consider how well these choices align with consumer preferences and the likelihood of connecting with the right audience.

2.7 Collaboration

The final decision tab in the Innovation Microsimulation is the Collaboration tab, where participants focus on identifying effective strategies for collaboration, adoption, and continuous improvement of the product. Collaboration decisions should aim to enhance product awareness and reach through partnerships with various external agencies across different sectors.

In the Technology Adoption and Continuous Innovation section, participants are responsible for allocating a budget for technology integration to enhance the existing product. They must prioritize innovation and experimentation to maintain a competitive edge. When investing in technology, participants can choose which product adoption cycle they wish to align with, guiding their strategic direction for future development.

Collaboration ⓘ

 Fitness Equipment Manufacturer Collaboration Collaborate with educational publishing houses to develop Arcane Adventures as part of interactive educational materials, textbooks, and digital learning resources for schools and students. Cost, k INR 800	 Health and Wellness Influencer Partnerships Partner with educational technology companies to integrate Arcane Adventures into their learning platforms, offering interactive storytelling and immersive educational experiences to students worldwide. Cost, k INR 400	 Corporate Wellness Programs Integration Collaborate with government educational initiatives and programs focused on digital literacy and innovation in education to promote Arcane Adventures in schools, colleges, and community learning centers. Cost, k INR 600
 Gaming Industry Collaboration Form alliances with edutainment content creators, YouTubers, and educational influencers to develop Arcane Adventures-themed educational content, tutorials, and interactive experiences for online platforms.	 Fitness App Integration Sponsor nonprofit organizations and foundations dedicated to education and literacy to support their initiatives and promote Arcane Adventures as a tool for enhancing learning outcomes and engagement.	

Figure 14 The Collaboration decision area in the Tab

They can opt to be a **Tech Bellwether**, embracing new and emerging technologies quickly and often serving as a trendsetter and influencer in the industry. Alternatively, they may choose to be an **Early Adopter**, swiftly adopting new technologies and innovations to gain a competitive advantage and differentiate themselves in the market. Some participants might prefer the **Late Adopter** approach, where they observe and assess new technologies before committing, prioritizing stability and proven performance. Lastly, they could identify as a **Laggard**, resistant to change and innovation, and opting to stick with familiar and traditional technologies. Each choice will significantly impact their innovation strategy and overall market position.

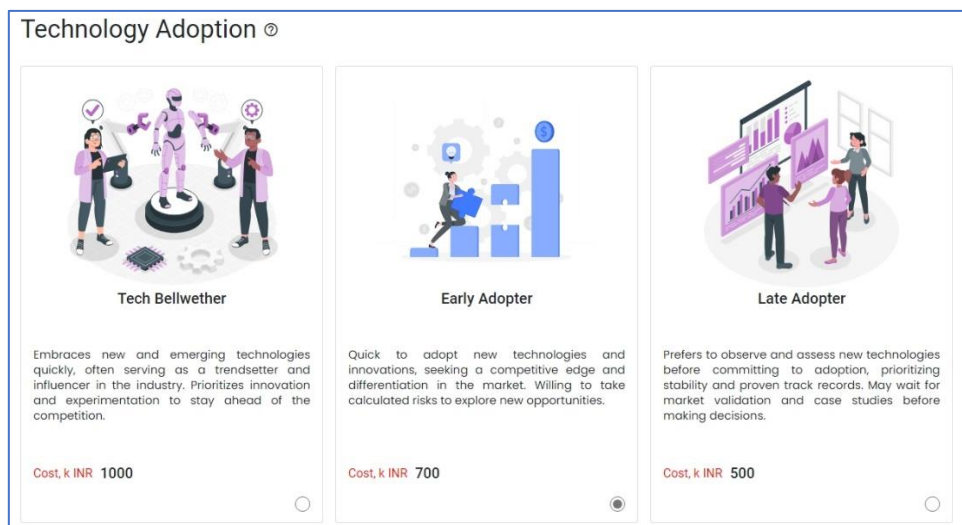


Figure 15 The Technology Adoption decision area in the Collaboration Tab

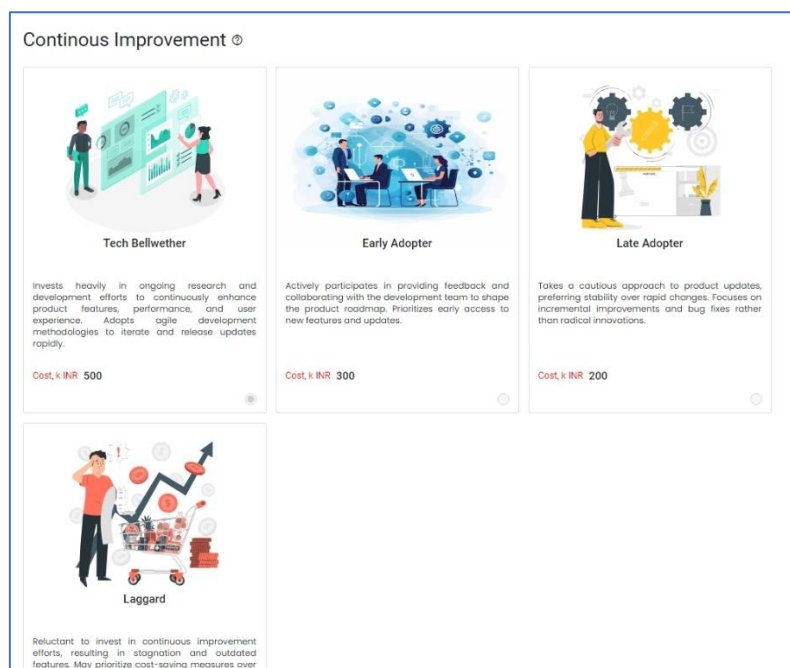


Figure 16 The Continuous improvement decision area in the Collaboration Tab

2.8 The Decision Checklist

The Decision Checklist helps participants review and adjust their decisions before the deadline. Once decisions are finalized, participants can submit them using the Submit option if they choose to proceed with the Decision Checklist. The Decision Checklist helps participants review and finalize their decisions. Once decisions are confirmed, they can submit them using the "Submit" option and choose [save and proceed](#). It's important to remember that once decisions are submitted and saved, they cannot be changed for that round. This ensures that decisions are carefully considered before finalization, promoting clarity and accountability in the decision-making process.

Decision Checklist

Round 1

User

Product	
Product	VR Fitness Adventure
Legal Compliance	No
Regulatory Compliance	Yes
Trademarks & Copyrights	No
Technology Patent	No
Open Source Compliance	No
Industry Standards Compliance	Yes
Resources	
No. of Developers	10
No. of Industry Expert	6
No. of Marketeer	3
Virtual Fitness Classes	No
Gamified Workouts	Yes
Virtual Fitness Competitions	Yes
Personalized Training Plans	Yes
Virtual Reality Environments	No
Health and Fitness Tracking	Yes
Marketing	
In-App Guidance	Basic, Standard and Premium
User Onboarding	Standard and Premium
Interactive Help Cente	Not Included

Figure 17 The Decision Checklist

2.9 Report

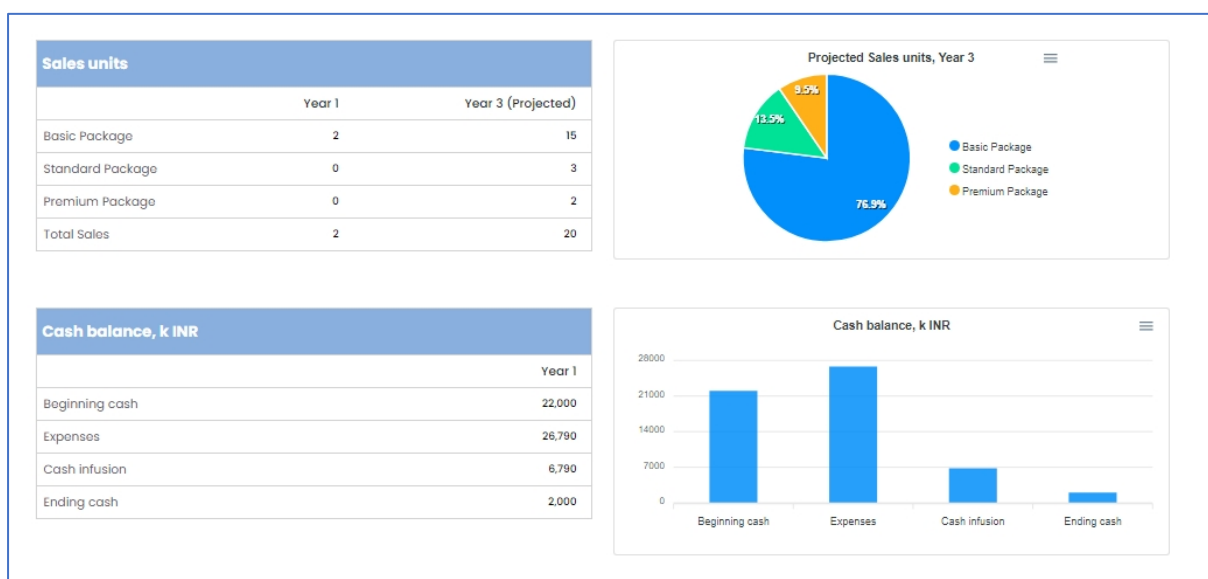
- The report section provides the details on the participants' critical thinking abilities. It demonstrates how their thought process influenced the outcomes, providing insights into the impact of their decision-making skills.



Figure 18 The Report Section

This section consists of feedback on the performance of the participant based on four metrics.

- Rigour:** Consistency throughout the decision-making and recommendation.
- Structuring:** Logical approach of gathering and analysing information
- Synthesis:** Approach towards interpreting information and making informed decisions
- Business Judgement:** Ability to evaluate facts, and consider risks and possible implications when making decision.



This section of the report outlines the strategic implications of decisions made, detailing total sales achieved year by year across different product categories, including the Basic, Standard, and Premium packages.

The Cash Balance section provides an overview of the company's financial situation, encompassing key figures such as beginning cash, expenses, cash infusion, and ending cash.

Income Statement, k INR			KPI	
	Year 1	Year 3 (Projected)		Year 1
Revenue	1,316	13,158	Product	VR Fitness Adventure
Cost			Development time, months	6
Compliance	1,350	1,500	Quality score %	100%
Resource	19,140	23,159	Average price, k INR	662
Promotion	3,000	4,392	Monthly burn, k INR	2,233
Distribution	1,200	1,452	Runaway, months	1
Collaboration	900	1,089		
Technology	1,200	1,452		
Total Cost	26,790	33,045		
Profit/Loss, k INR	-25,474	-19,887		

Figure 20 Report Section Showing the Key Performance Indicator

The Income Statement section provides a detailed overview of the revenue generated, costs incurred throughout the decision-making process, and the final profit or loss.

The KPI section highlights key metrics associated with the developed product, such as development time, quality score, average price, monthly burn rate, and remaining runway in months. The criteria for winning the simulation hinge on two main factors: the projected profit or loss over a three-year period and the remaining runway. Participants are expected to showcase their capability to forecast and attain sustainable profitability while managing finances effectively to prolong the startup's operational runway.

Important Key terms in the Report

1. **Development Time:** The total time taken to develop the product from conception to launch. It is a critical metric, as shorter development times can lead to quicker market entry and potential revenue generation.
2. **Quality Score:** This metric assesses the quality of the product based on various decisions taken such as the resource allocation, features and performance, user satisfaction, and compliance with industry standards. A higher quality score often correlates with better customer reviews and sales performance.
3. **Average Price:** This is the mean selling price of the product over a specific period. It helps gauge the product's market positioning and competitiveness relative to similar offerings.
4. **Monthly Burn Rate:** This term indicates the amount of capital the startup spends each month. A lower burn rate is preferable, as it allows the company to extend its operational runway without requiring immediate additional funding.
5. **Projected Profit or Loss:** This forecast estimates the financial outcome over a specified period (three years in this case), based on anticipated revenues and expenses. It helps participants understand the potential financial viability of their strategies.
6. **Operational Runway:** This concept refers to the amount of time a company can operate before it needs additional capital or becomes profitable. It is an essential aspect of financial planning, as it impacts strategic decisions and investor confidence.

2.10 Synopsis

The synopsis section provides a condensed overview of the key decision areas and outcomes. It offers participants a quick reference point to grasp the essence of their decisions and their thinking ability, aiding in holistic understanding and future planning.

Round 1 XLS

Synopsis

Decisions	
Parameters	Input
Product	VR Fitness Adventure
Legal Compliance	No
Regulatory Compliance	Yes
Trademarks & Copyrights	No
Technology Patent	No
Open Source Compliance	No
Industry Standards Compliance	Yes
No. of Developers	10
No. of Industry Expert	6
No. of Marketeer	3
Interactive Educational Modules	No
Virtual Field Trips	Yes
Language Learning Adventures	Yes
STEM Exploration Labs	Yes
Creative Storytelling Workshops	No
Historical Time Travel Adventures	Yes
In-App Guidance	Basic, Standard and Premium
User Onboarding	Standard and Premium
Interactive Help Centre	Not included
Customizable User Profiles	Standard and Premium
Community Forums	Standard and Premium
Multi-Platform Compatibility	Standard and Premium
Analytics and Reporting	Basic, Standard and Premium
Customization Options	Standard and Premium
Offline Access	Not included
Gamified Workouts	Not included

Income Statement, k INR		
Parameter	Year 1	Year 3 (Projected)
Revenue	1,316	13,158
Compliance	1,350	1,500
Resource	19,140	23,159
Promotion	3,000	4,392
Distribution	1,200	1,452
Collaboration	900	1,089
Technology	1,200	1,452
Total Cost	26,790	33,045
Profit/Loss, k INR	-25,474	-19,887

Sales units		
Parameter	Year 1	Year 3 (Projected)
Basic Package	2	15
Standard Package	0	3
Premium Package	0	2
Total Sales	2	20

Cash balance, k INR	
Parameter	Year 1
Beginning cash	22,000
Expenses	26,790
Cash infusion	6,790
Ending cash	2,000

KPI	
Parameter	Year 1

Round 2

Figure 21 The Synopsis Section in the Game Arena

To proceed to the next iteration, follow these steps:

1. Navigate to the end of the synopsis page to locate the link for the next round.
2. Click on the 'Round' to advance to the next round.
3. You will be redirected to the home page.
4. Click on the card to begin the next round.